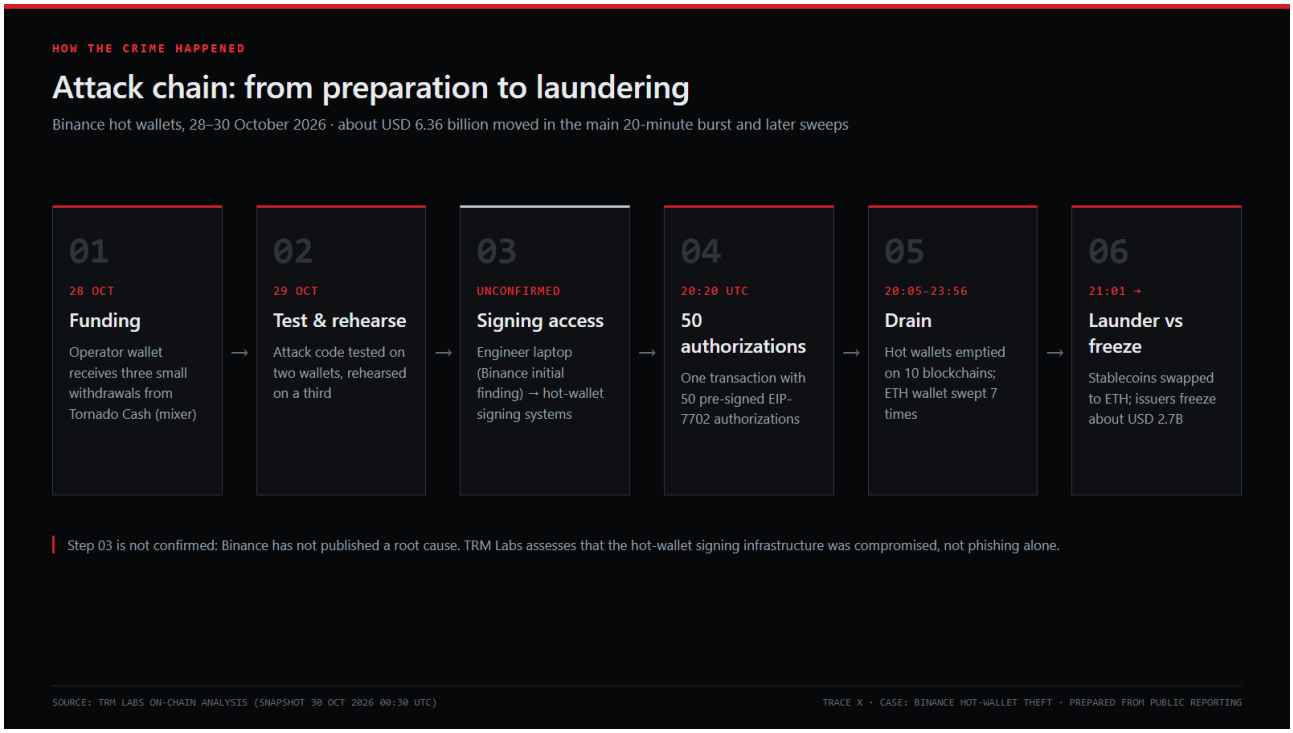
INCIDENT BRIEF | CYBERCRIME | PREPARED FROM PUBLIC REPORTING FOR TRACE X TRAINING

Binance hot-wallet theft, 29 October 2026

Status as of 30 Oct 2026, 00:30 UTC (TRM Labs snapshot). Figures may change as investigations continue. Binance has not published an official root cause.

Item	Recorded information
Victim	Binance (cryptocurrency exchange); customer funds covered by Binance (SAFU reserve)
Amount	About USD 6.36 billion (TRM Labs; other reports say USD 6.3-6.4B)
Scope	Hot wallets on 10 blockchains: Ethereum, Bitcoin, Tron, XRP Ledger, Solana, Arbitrum, Optimism, Base, Avalanche, Polygon
Main window	20:05-20:23 UTC, 29 Oct; repeat Ethereum sweeps until 23:56 UTC
Technique	Pre-signed EIP-7702 authorizations (Ethereum) + signed transfers on other chains; signing access suspected
Attribution	TraderTraitor (North Korea-linked) - TRM Labs (high confidence), Chainalysis (high confidence). Not a law-enforcement finding.
Frozen	About USD 2.7B (Tether, Circle, Ripple, World Liberty Financial, Arbitrum Security Council)
Still held	About USD 2.4B in ETH and BTC (cannot be frozen by an issuer)

Attack chain



What happened, in order

1. **Preparation (28-29 Oct).** An operator wallet was funded with three small Tornado Cash withdrawals, then attack code was tested on two wallets and rehearsed on a third.
2. **Access.** Binance's initial investigation reportedly traced the breach to a software engineer's laptop. TRM Labs assesses that the hot-wallet signing infrastructure was compromised. Not confirmed.
3. **Drain (20:05 UTC onward).** XRP Ledger, Solana and Optimism wallets first; at 20:20 Bitcoin (18,270 BTC), Tron (612.7M USDT) and one Ethereum transaction carrying 50 pre-signed EIP-7702 authorizations. At about 20:23:24 the Ethereum hot wallet's entire balance was swept, then swept again six more times.
4. **Freeze race.** Tether froze 971.1M USDT at 21:01 and Circle 823M USDC at 21:04. The attacker swapped stablecoins into ETH at a >10% loss and borrowed ETH on Aave, because ETH and BTC cannot be frozen.
5. **Laundering.** Bitcoin is moving through a peel chain (1,000 BTC and 100 BTC pieces). Analysts expect bridges, swap services and OTC brokers next.

Key timeline (UTC)

Time	Event	Source
29 Oct 20:05	Five XRP Ledger wallets drained (233.46M XRP)	TRM Labs
29 Oct 20:20	BTC 18,270 and Tron 612.7M USDT sent; 50 EIP-7702 authorizations submitted	TRM Labs
29 Oct 20:23	Ethereum hot wallet swept: 167,464 ETH + 63 tokens	TRM Labs
29 Oct 21:01	Tether freezes 971.1M USDT	TRM Labs
29 Oct 21:04	Circle freezes 823M USDC	TRM Labs
29 Oct 22:27	TechCrunch: Binance confirms withdrawals suspended	TechCrunch
29 Oct 23:35	Binance: USD 2.54B verified frozen	TRM Labs
30 Oct 00:10	Binance removes attacker permissions from hot wallet	Wikipedia
30 Oct 00:30	About USD 2.7B frozen; about USD 2.4B ETH/BTC still held	TRM Labs

Open questions

How were 50 hot-wallet authorizations signed without detection? Which systems did the engineer's laptop reach? Where will the 18,270 BTC and the ETH be off-ramped? Will law enforcement confirm the attribution?

This brief records published information. It does not determine responsibility. Sources: TRM Labs, "North Korea Steals USD 6.36 Billion From Binance"; TechCrunch (29 Oct 2026); CNBC (30 Oct 2026); Wikipedia, "2026 Binance hack".